2. External (Industry) Analysis

JRE 410

Markets and Competitive Strategy

Winter 2025

Week	Mon 101/103	Wed Pracs	Fri 102	Topic	Readings	Practical Case & Activity/Deliverable
Part 1				**Strategy**		
1	Jan 6	Jan 8 *No practical*	Jan 10	Course overview & case analysis	Chapter 1: Strategy, business models, and competitive advantage	No practical on Jan 8th
2	Jan 13	**Jan 15 Practical begins**	Jan 17	External (industry) analysis	Chapter 3: Evaluating a company's external environment	Mini case: Canadian Auto Parts **(will be provided to you in first tutorial)**
3	Jan 20	Jan 22	Jan 24	Internal (company) analysis	Chapter 4: evaluating a company's resources, capabilities, and competiveness	McDonald's Corporation Marketing Plan Business Idea Selection Jan 25th
4	Jan 27	Jan 29	Jan 31	Competitive strategies	Chapter 5: The five generic competitive strategies	Nike Inc.
5	Feb 3	Feb 5	Feb 7	Competitive dynamics & Intellectual Property	Chapter 6: Strengthening a company's competitive position – strategic moves, timing, and scope of operations	EHarmony Marketing Plan Proposal Due – Feb 5th (due 4pm for all practicals)
Part 2				**Marketing**		
6	Feb 10	Feb 12 **MIDTERM**	Feb 14	Customers & customer value	Chapter 1 (creating customer value Chapter 5 (consumer behaviour) Chapter 6 (understanding organizations as customers)	Midterm (Feb 12) – covering all of strategy module material; held in your practicals 4pm or 6pm
Reading week Feb 17-21 (no classes)						
7	Feb 24	Feb 26	Feb 28	Market segmentation, targeting & positioning	Chapter 9 – Market segmentation, targeting and positioning	Can Disney Catch Netflix? The Video-Streaming Wars in 2019
8	Mar 3	Mar 5	Mar 7	Products & new product introductions	Chapter 10 – developing new products and services Chapter 11 – managing products and brands	Kodak
9	Mar 10	Mar 12	Mar 14	Pricing & channels	Chapter 13 – pricing products/services; Chapter 14 – Managing marketing channels and supply chains	Gucci: Staying Relevant in Luxury over a Century
10	Mar 17	Mar 19	Mar 21	Promotions & communications	Chapter 16 – integrated marketing communications and direct marketing.	Microsoft Surface Hub
Part 3				**Commercialization**		
11	Mar 24	Mar 26	Mar 28	-Commercialization & Business Start-up -Course Review	--	Uber: Applying Machine Learning to Improve the Customer Experience Marketing Plan due on Quercus Mar 26, 4pm for all sections.
12	No lecture (Mar 31)	**Required Practical** (Apr 2)	No lecture (April 4)	--	--	April 2: Presentation for all Groups (10 minutes for each group)
Cumulative Final Exam | **Final Exam Period: April 9 to April 30 including weekend**						

Summary from last session

- A company's strategy consists of competitive moves & business approaches that management uses to run the Co
- Strategic analysis addresses:
  1. Where are we now?  today + next session
  2. Where do we want to go?
  3. How will we get there?
- The goal is a sustained competitive advantage resulting in superior long-run profitability.
- A company's strategy can change over time.
  - A planned strategy can differ from a realized strategy.
- A business model consist of 3 elements:
  - A compelling value proposition for the customer
  - Favourable economics (profitable)
  - Superior execution

Answering “Where are we now?” involves 2 analyses of the company’s current situation

- *External analysis*: The company’s industry and competitive environment

Today

- *Internal analysis*: The company’s resources, capabilities and competitiveness

Next class

Some reasons for performing an external analysis

- To decide whether to enter an environment
  - iPhone
- To decide whether to extricate your firm from an environment
  - Nokia
- To position your firm to succeed in a given industry
  - RIM
- To assess the effect of a major change. e.g. a tech standard
  - Qualcomm
- To attempt to change the rules e.g. lobbying for deregulation
  - Wind (Freedom Mobile) / Verizon

But the environment is enormously complex, so we need structured ways of thinking about the environment.

Who has to perform this analysis?

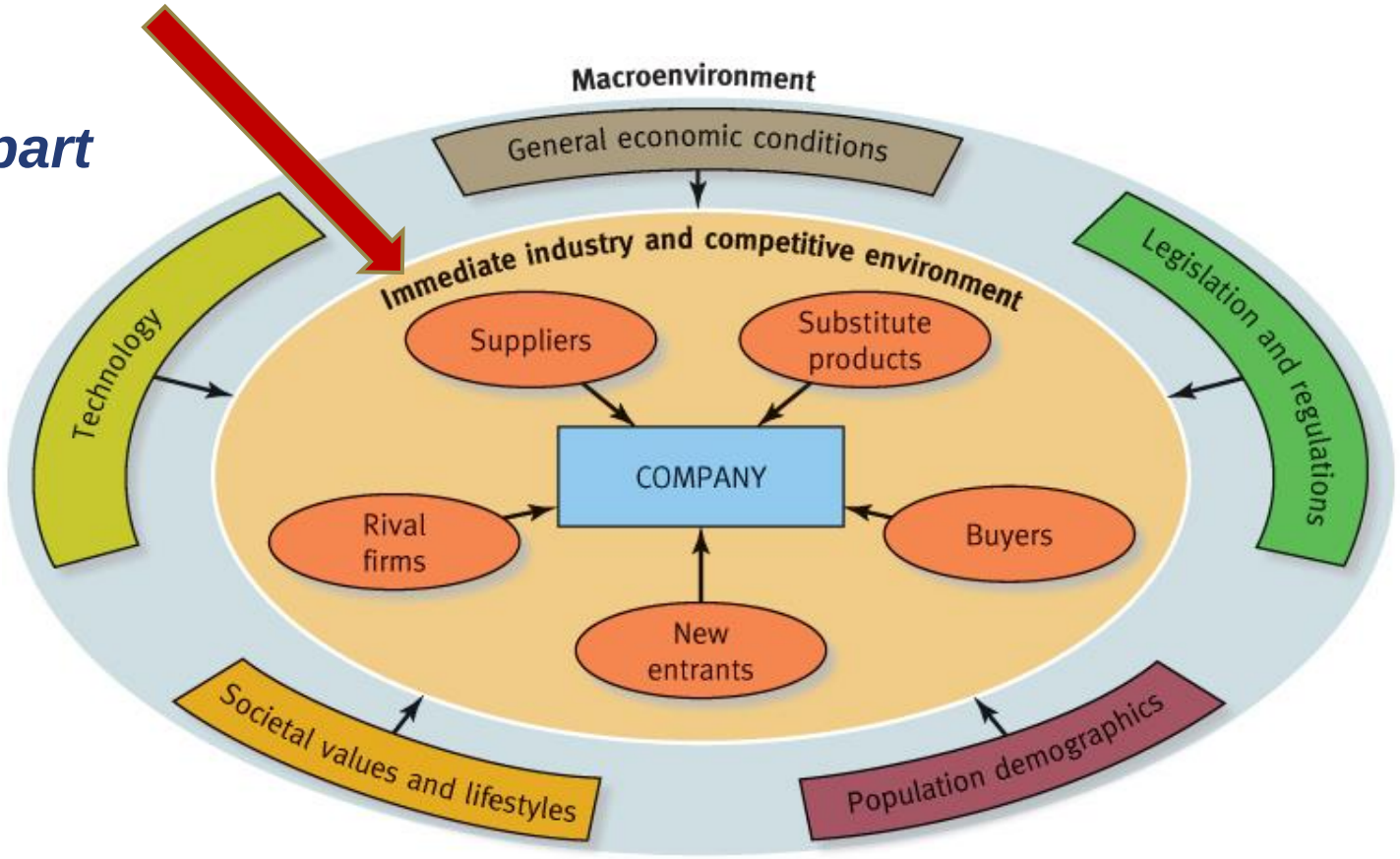
- Entrepreneurs
- Developers of technology
- Managers
- Financial analysts
- Bankers and investors
- Consultants
- Anyone making a career choice

In Short: YOU !!

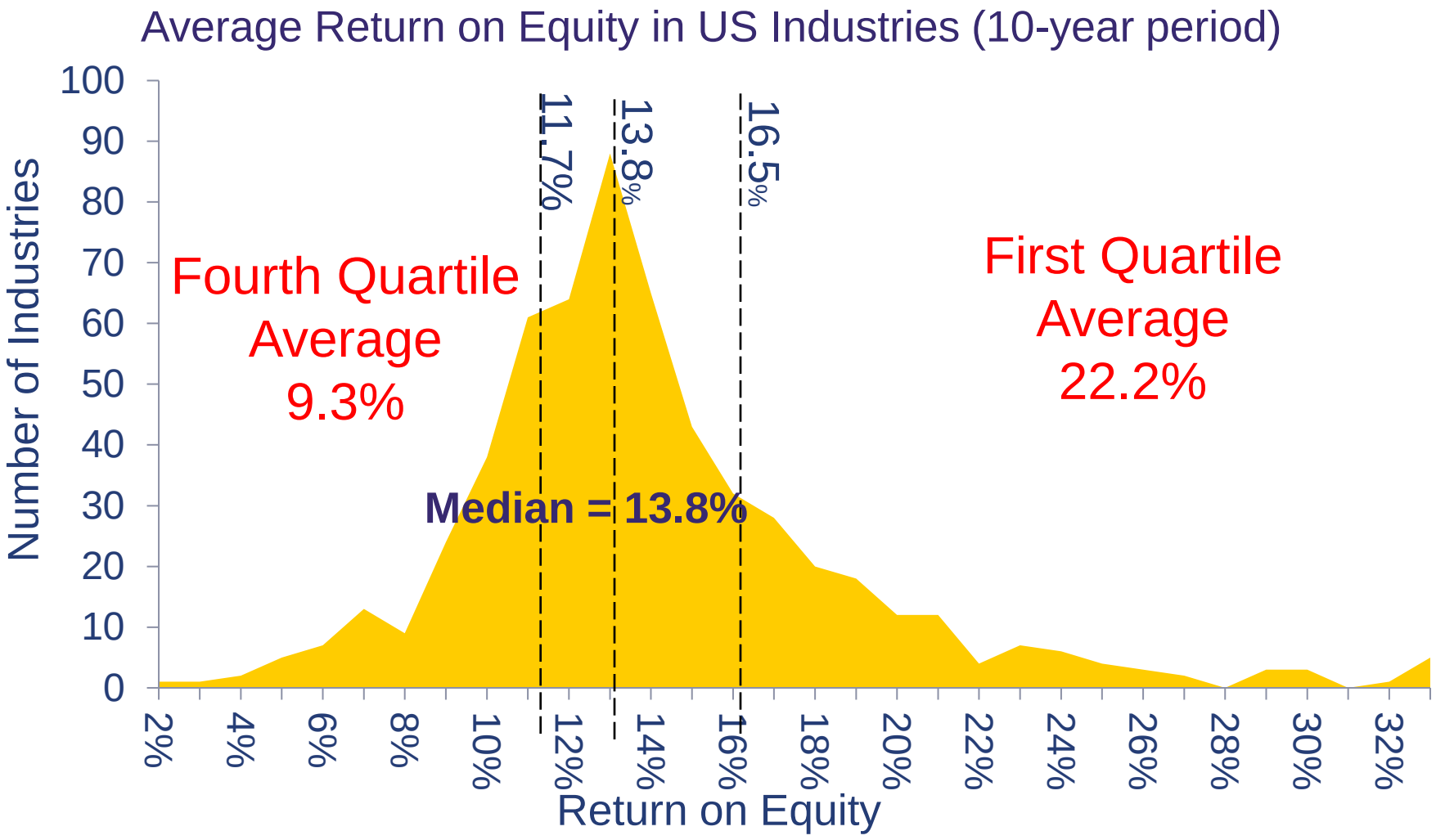
Many characteristics of a company's external environment are relevant to strategy decisions

But the "immediate industry and the other players" in the industry are most relevant,

Or at least the part we can control



Attractiveness of industries differs considerably



Note: Return on Equity = Net Income / Year End Shareholders' Equity; Analysis based on sample of 593 industries
Source: Jan Rivkin's Analysis Based on Dun and Bradstreet Data

Example: Return on assets

Industry	Industry average ROA
Consumer electronics retailer	7.0%
Defense and aerospace systems	19.3%
Electricity operations	8.9%
Fashion apparel	15.8%
Pharmaceutical products	18.2%
Refining and marketing of crude oil	6.2%
Semiconductor devices	11.6%

Return on assets indicates how much profit a company makes on its total assets. The formula is: Net Income/Total Assets. The higher the better.

Source: Jeff Furman, Boston University

Today's class on External analysis:

1. What are the industry's dominant economic traits?
2. What are the nature and strength of the industry's competitive forces? (5-Forces Model)
3. What forces are driving industry change?
4. What market positions do industry rivals occupy?
5. What strategic moves are rivals likely to make next?
6. What are the key success factors of the industry?
7. Does the industry outlook offer good prospects for profitability?

1. What are the industry's dominant economic traits?

- **Buyers**: Size (number, $), scope, growth
- **Rivals:** how many?, scope of rivalry, vertical integration (different steps in getting product to buyer)
- **Products:** differentiation, innovation, pace of technological change
- **Costs:** economies of scale, learning effects, other cost advantages

Topic #2- the Biggie today

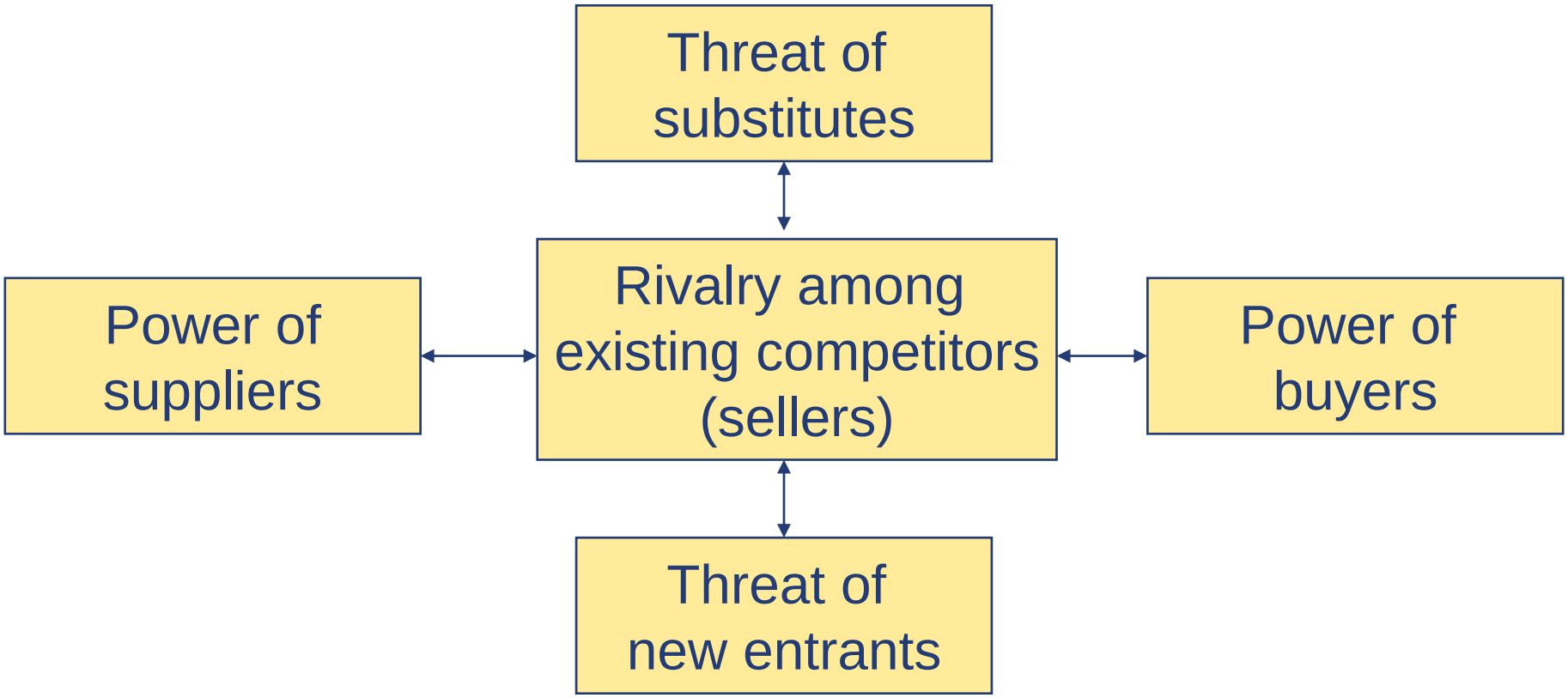
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To Assess the nature and strength of the industry's competitive forces…

We will Use the:

"Five-Forces Model"

The Five-Forces Model



The 5-Forces model helps answer

- How & why is a level of industry profitability achieved?
- What will affect the future profitability of the industry?
- You have to provide the insight
- Which forces really matter at a particular point in time?
- Which sources of a force's power matter at a particular point in time?

Wine industry value chain

Substitute Products
substitutes

Beer
Spirits
Fruit juice
Soda pop



suppliers
Grapes
Vats
Labour

existing rivals
Wineries

Distributors
buyers

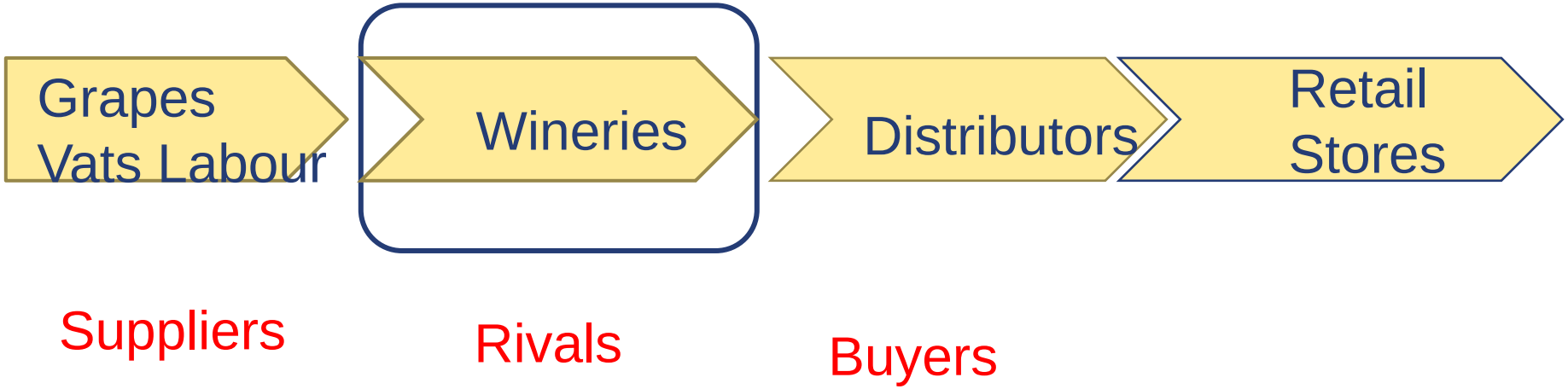
Retail Stores

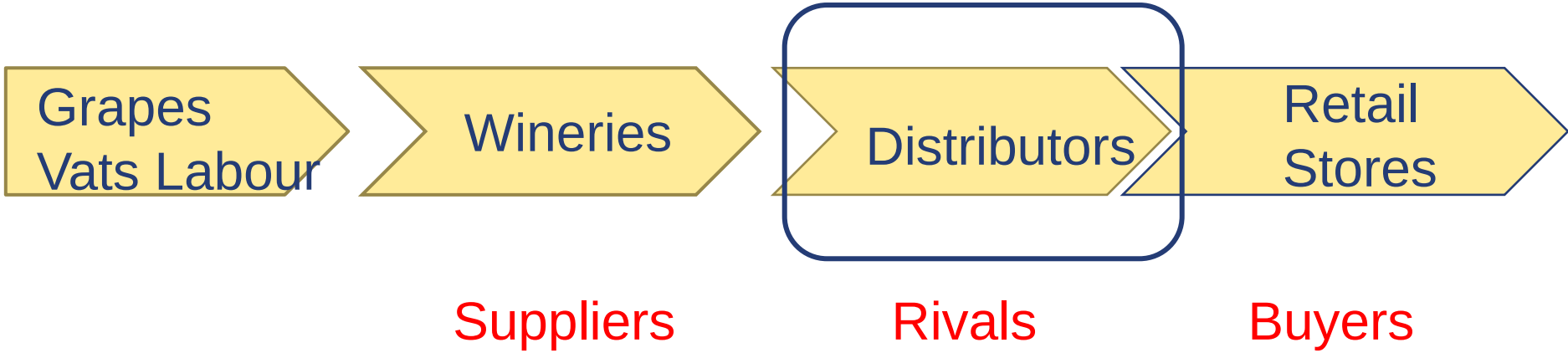


New entrants
entrants

New local wineries?
New foreign wineries?
Organic wineries?
Tetra pak wine?

Who is Where, Depends on Where YOU Fit in the Value Chain !!





Collective Strengths of the 5 Forces

When the 5 forces are *low* …

- then industry average profits will be high and it's an "attractive" industry

When the 5 forces are *high*…

- then industry average profits will be low and it's not an "attractive" industry

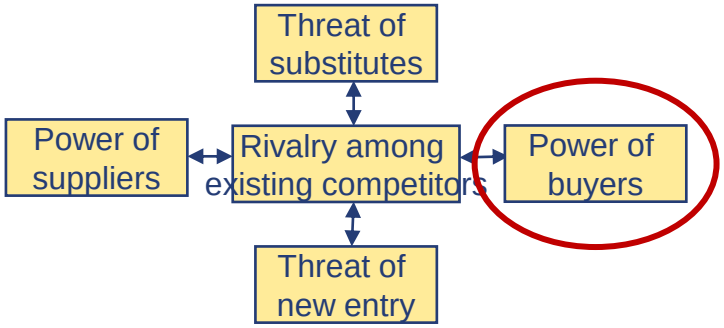
And not all the 5 forces have to be high for an industry to be unattractive…

- Blockbuster killed by Netflix, other on-line competitors (new entrants and low barriers to switching)

Steps to a 5-Forces analysis

1. Define the **industry**
2. Identify the players
3. Assess the strength of each force

When is the bargaining power of buyers (customers) stronger?



Higher buyer power means: you have to charge lower prices





- Buyers are large and can demand concessions
- Buyer switching costs for substitutes are low
- The number of buyers is small





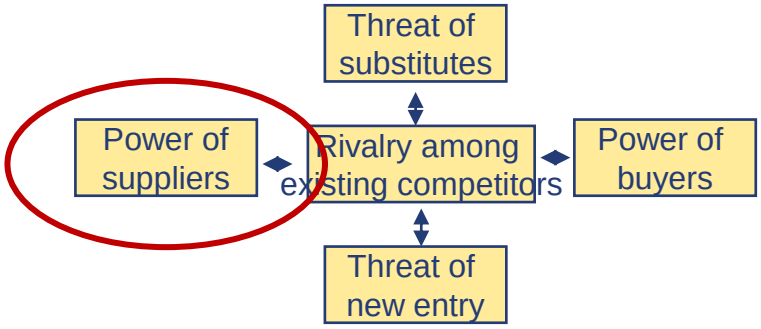
- Buyer demand is weak or declining
- Buyers are well-informed about sellers' products, prices, and costs



- Buyers threaten to integrate backward

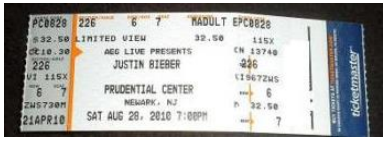
President's Choice

When is the bargaining power of suppliers stronger?



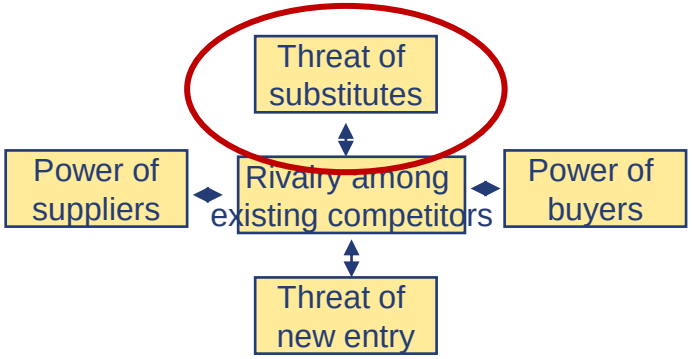
Higher supplier power means: you pay more for things

- Buyers incur high switching costs
- Suppliers are few in number
- Needed inputs are in short supply
- Products/services are seen as differentiated
- Some suppliers threaten to integrate forward (e.g. open own stores, sell online)





When is the power of substitutes stronger?



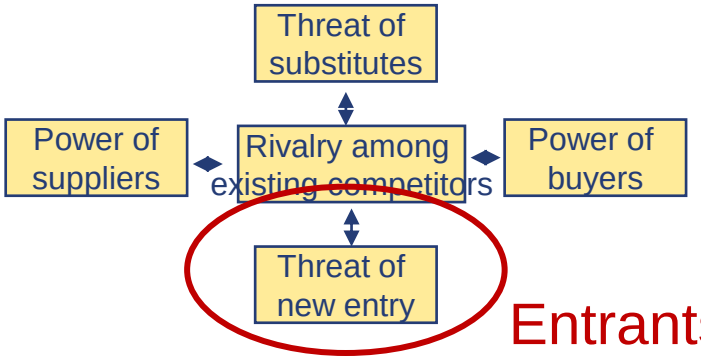
Close substitutes can reduce the value of what you sell

- Lower the price that buyers will pay

- There are many good, readily available substitutes
- High relative price performance of substitutes
- End users have low switching costs



When is the threat of entry stronger?



Entrants can take away money from incumbents

- Industry is growing and profit potential is high
- Incumbents are unwilling/unable to challenge newcomers' entry
- The pool of entry candidates is large
- Entry barriers are low- **Can you think of an example??**

What are powerful entry barriers?

- Importance of economies of scale (eg. Wal-Mart)
- Experience/learning curve disadvantages eg. Intel (temp?)
- Strong brand preferences and high degrees of customer loyalty (eg. Apple)
- High capital requirements (eg. Pfizer)
- Restricted access to distribution channels (eg. PCs)
- Restrictive regulatory policies (eg. Rogers / Bell)
- Tariffs and international trade restrictions
- Threat of retaliation by incumbents

Working with a New Entrant?

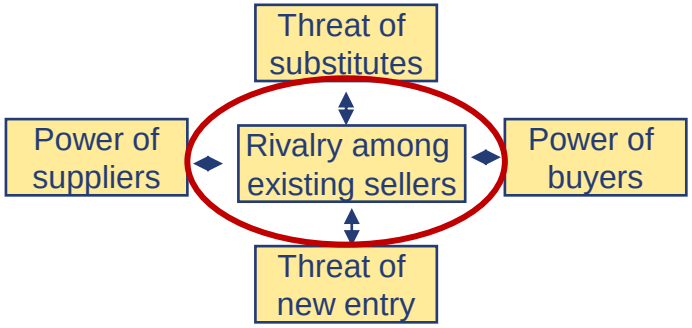
Does it ever make sense to work with a firm who wants to enter into the industry *you* are active in?



A Nook display at a Barnes & Noble store. In 2012, Microsoft invested $300 million for 17.6 percent stake in the Nook e-book reader.

However, in 2014 Microsoft's investment has withered along with the Nook Business. Two companies parted ways. In just over two years, the Nook business had lost more than half its value.

When is rivalry among existing competitors (sellers) stronger?



Intense rivalry can drive prices down (and/or force quality up)



- Buyer demand is weak or declining
- Sellers have excess capacity/inventory
- Sellers' brands are weakly differentiated
- Buyers have low switching costs among brands
- Sellers are increasing in number (roughly > 6) and are of similar size
- Sellers take aggressive actions to improve sales and market share

Example: Is the engineering consulting industry attractive?





Threat of substitutes

Power of suppliers

Rivalry among existing competitors (sellers)

Power of buyers

Threat of new entry

When the 5 forces are *low* then industry average profits will be high and it's an "attractive" industry.

Vote pls

Example: Engineering consulting industry

Threat of substitutes	LOW	• P.Engs required by regulations
Power of buyers	HIGH	• Low switching costs for buyers • Can start own engineering dept
Threat of new entry	HIGH	• Low barriers to entry
Power of suppliers	LOW	• Many universities grant degrees • Degrees are portable
Rivalry among existing competitors	HIGH	• Differentiated by track record • Typically switching costs are low

Example: SNC Lavalin



- Overcoming buyer power
  - SNC provides additional services such as construction and procurement management which differentiates them and increases buyers' switching costs.

- Overcoming threat of new entry.
  - SNC has a diverse and comprehensive work force that is able to take on large (billion dollar) projects.

- Overcoming rivalry
  - SNC's recent purchase of AECL. The company becomes the most qualified to build and service CANDU reactors.

How do you compete if you're a small engineering consulting firm?

- Overcoming buyer power
- Overcoming threat of new entry
- Overcoming rivalry

Develop a specialized niche that you excel at
or
Be less expensive than the big firms

Example:

- Aerocoustics Engineering Ltd. – Provides consultation for the control of acoustics, noise and vibration from theaters to power plants

aercoustics
engineering limited

Common pitfalls of a 5-Forces analysis

1. Using the firm as the level of analysis. Use the Industry

2. Giving equal weight to all forces. Some will dominate.

3. Failing to define the industry clearly
   - Confuse substitutes and rivals – e.g. accounting software producers and accounting service firms are substitutes
   - Firms in multiple industries. E.g. refining and marketing oil are different activities in different industries even though a firm can do both

Common pitfalls of a 5-Forces analysis

4. Taking the perspective that an “attractive” industry means new entrants want to enter
   - A 5-forces analysis looks at the industry from the ***incumbents***’ view: “What does this force do to the prices that the firms in the industry can charge to their buyers, and what does it do to costs that the firms in the industry must pay?” New entrants might want to enter, but an attractive industry—from a performance standpoint—is one where it’s difficult for them to do so.
5. Ignoring the full range of substitutes
   - E.g. Boxes of chocolates are substitutes for cut flowers. But how important they are depends on how much of the cut flower market is based on gifts. 20%? 50%? 70%

Topic #3

1. What are the industry's dominant economic traits?
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3. What forces are driving industry change?

- Driving forces are powerful external influences reshaping the industry landscape and altering competitive conditions
  - Examples: Changes in long-term industry growth rate, increasing industry globalization, changes in product use and buyers, product innovation, tech change, entry/exit of major firms
- Identify forces likely to reshape industry competition within next 1-3 years
- Assess impact of driving forces on industry attractiveness
  - Are they causing demand for product to increase or decrease?
  - Are they making competition more or less intense?
  - Will they lead to higher or lower industry profitability?
- Determine what strategy changes are needed to prepare for the impact of driving forces

Example: Energy industry

Changes in costs and efficiencies

- Fuel is Commodity Based
  - Oil @ $100 per Barrel

Tech. change & manufacturing process innovation

- Cost per Watt of Solar down
  - 2008: $3.00 per watt
  - 2010: $1.80 per watt

Product innovation

- Solar Technology

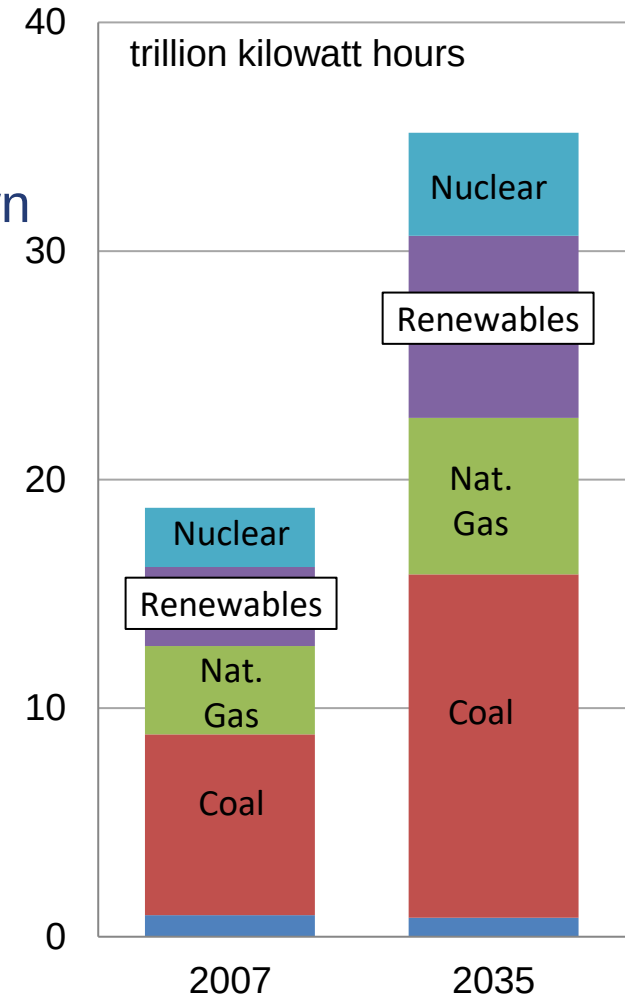
Changing concerns, attitudes and lifestyle

- Tragedy in Fukushima
- Green trend
- Success of Bullfrog Power

Regulatory influence

- Phasing out nuclear
  - Germany: 2022
- Ontario Green Energy Act

World electricity generation by fuel, 2007 & 2035



Adapted from EIA, International Energy Statistics database

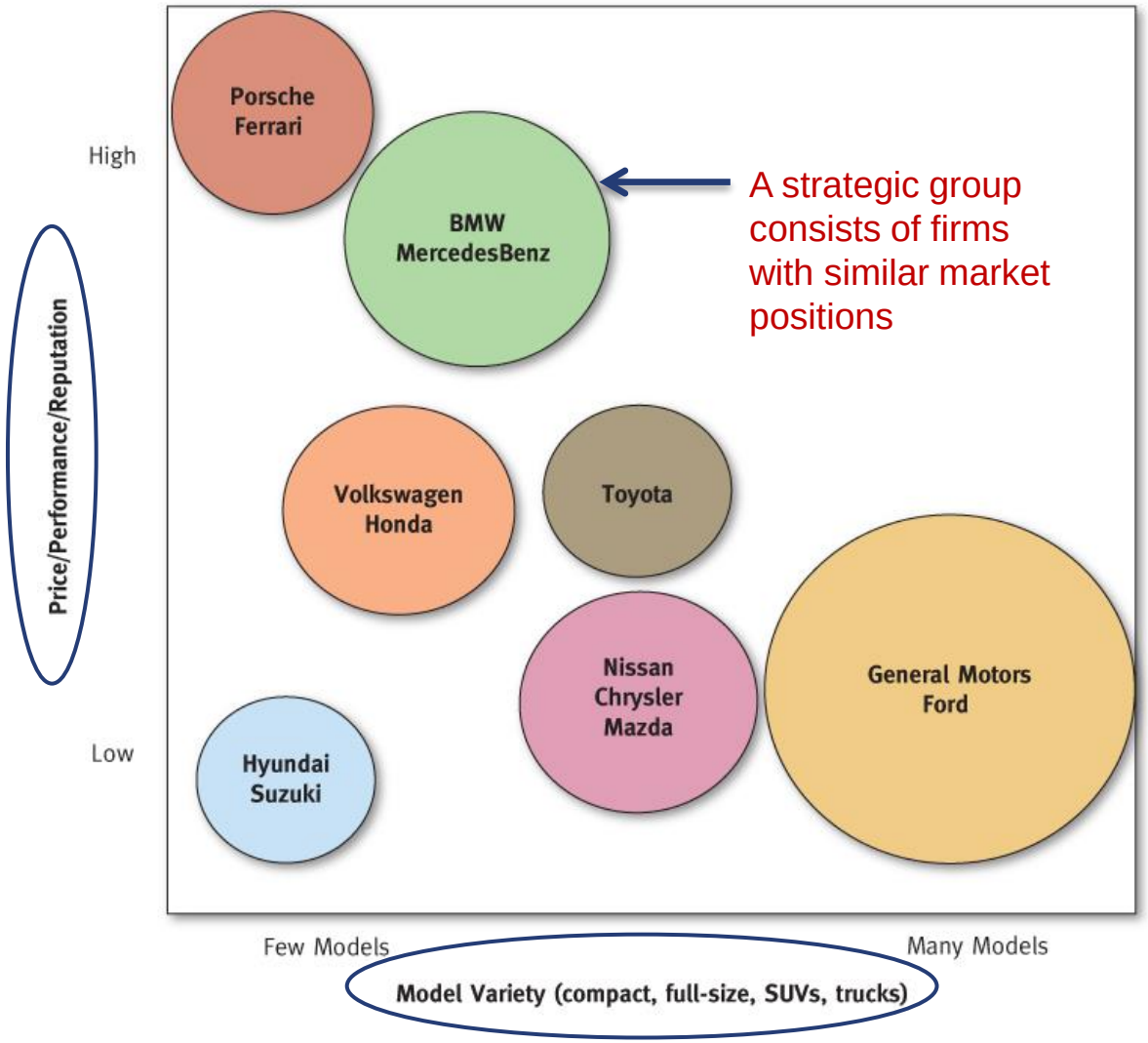
Topic #4

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4. What market positions do rivals occupy?

A *Strategic Group Map* describes the competitive positioning of competitors

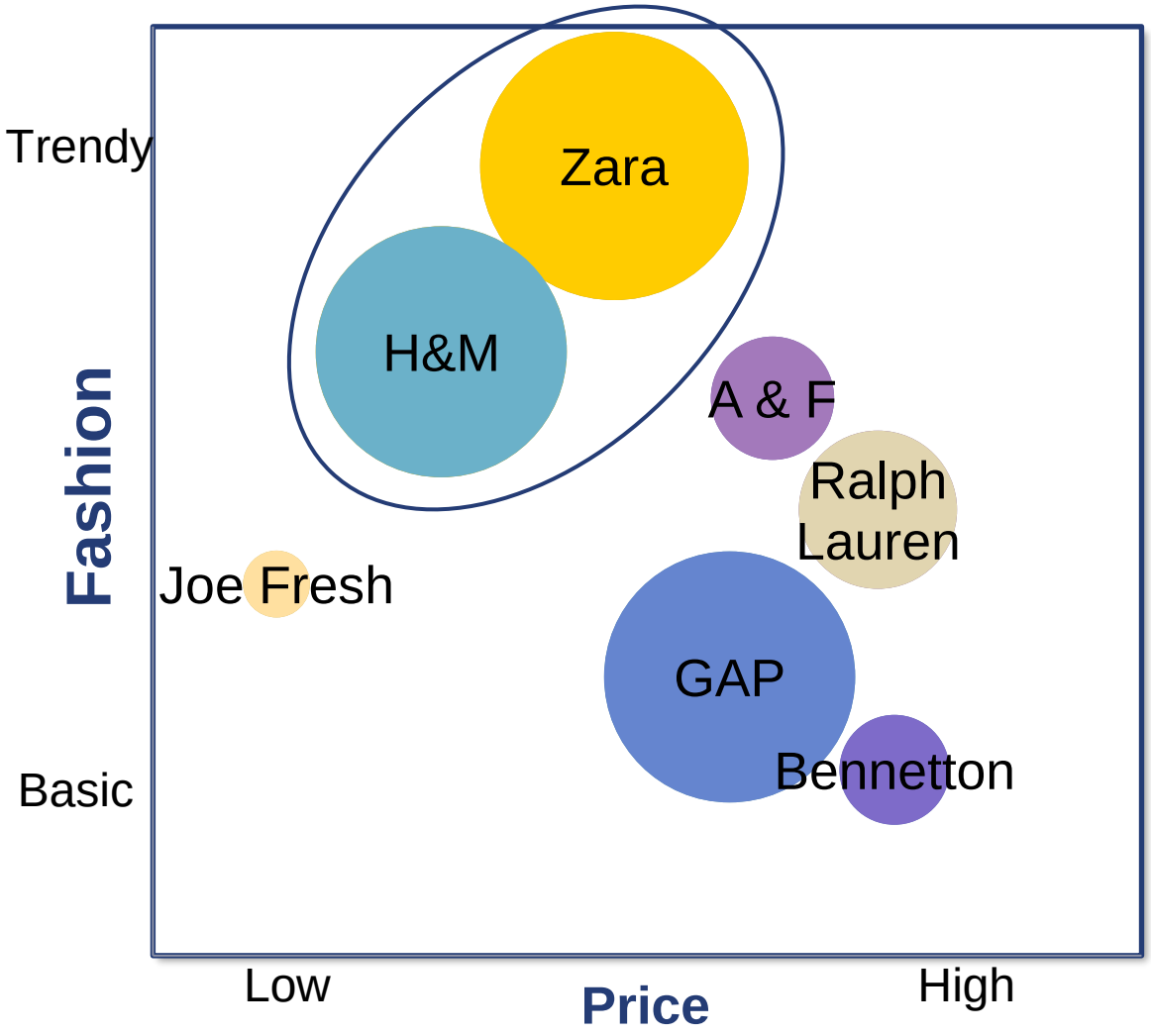
- Driving forces and competitive pressures often favour some strategic groups and hurt others
- Competitive pressures may cause the profit potential of different strategic groups to vary



Example: Speciality clothing retailers

Why are Zara and H&M perceived as trendy but not perceived as priced as high as the GAP and Abercrombie and Fitch (A&F)?

Zara and H&M are “fast retailers” – their inventory is replaced quickly. This creates a feeling of scarcity so their clothes are desired more.



Topic #5

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What strategic moves are rivals likely to make?

- To answer this, you need to know your competitors well

- The moves of rivals will depend on many things, including:
  - Leadership styles of top executives (aggressive, cautious)
  - Past patterns of new product launches and marketing campaigns
    - Do they tend to be a pioneer or a follower? E.g. in graphics chips, nVidia is often a pioneer and Intel a “fast follower”
  - Incentives to make a new move and their ability to pull it off
  - Whether they are likely to expand geographically
  - Whether they are likely to expand product offerings

Example: Speciality clothing retailers

- Introducing a new clothing line
  - Typical (i.e. Gap, A&F) $\rightarrow$ 3 – 6 months.
  - Fast (i.e. Zara, H&M) $\rightarrow$ 4 – 8 weeks
- Zara and H&M copy, produce and sell popular trends introduced by other companies
- Fast retailers depend on sophisticated IT systems to quickly identify the next big trend
- These behaviours are predictable

Topic #6

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6. What are the key success factors (KSFs) of the industry?

- What do ALL companies in this industry have to do well to stay in the game and be successful?
  - What are the 5-6 factors that have the biggest impact on success? On competitive loss?

- Three questions to ask in identifying industry KSFs:
  1. On what basis do buyers choose between brands?
  2. What resources are needed to compete successfully?
  3. What shortcomings are likely to put a company at a competitive loss?

Example: Engineering consulting industry

1. On what basis do buyers choose between brands?
   - Past project success, experience, relationship, price
2. What resources are needed to compete successfully?
   - Experienced employees with differentiated skills
3. What shortcomings are likely to put a company at a competitive loss?
   - Lack of expertise
   - Not enough manpower
   - High costs

KSF: A diverse and experienced workforce, effective work processes, past success, local

Topic #7

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7. Does the industry outlook offer good prospects for profitability?

7. Does the industry outlook offer good prospects for profitability for a firm?

This Question is basically a summary of the previous 6 analyses

- The industry's growth potential
- The intensity of competition
- When the threat of the five competitive forces is LOW, industry average profits are likely to be HIGH
- Are the impacts of driving forces likely to be positive or negative?
- The company's competitive position in the industry relative to rivals
- How well the company performs the industry's key success factors

Today's takeaways

- Strategic analysis addresses:
  1. Where are we?
  2. Where do we want to go?
  3. How will we get there?



this week (external analysis) + next session (internal analysis)

- You must understand the industry to craft an effective strategy
  - To decide about entry, exit, and positioning
  - To assess the impact of external changes and of your own strategic moves
- The goal is sustained competitive advantage resulting in superior long-run profitability
- There are 7 important questions to answer in an external analysis and the Five-Forces Model is a useful framework to structure an analysis

Coming up

This Wednesday Practical

- Case: Canadian Auto-Parts
- Prep questions posted on course website

For next lecture

- Read Chapter 4

Review Marketing Plan Assignment Handout

- Posted on Quercus; to be discussed during Practical